
RaceSims • Chennai

PREMIUM SIM-RACING CENTRE — PROJECT REPORT

8 rigs

7 race + 1
motion

₹68.3L

net capital

₹3.57

cr

5-yr EBITDA

~2 yrs

payback

Racesims Solutions Pvt Ltd • Chennai • opens July 2026

Drive • Train • Compete

Executive Summary

THE OPPORTUNITY, IN ONE PAGE

RaceSims · Chennai is an **8-rig premium sim-racing centre** (7 race/rally + 1 three-DOF motion) opening **July 2026** under Racesims Solutions Pvt Ltd. Because RaceSims is the Conspit/VNM distributor, the rigs are deployed at **cost** (₹50.8L vs ₹85–95L retail) — most of the capital is a resaleable asset. The centre is the direct-operated proof point for a wider India network.

10.0% operating break-even occupancy	₹8.6–29.3L Year-1 EBITDA range	₹2.16 cr 5-yr profit after tax	~3.2× capital multiple (5-yr)
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The economics are forgiving: operating costs are covered at just **10% occupancy** (11.5% including the cost of capital), while a comparable operating dealer already runs at ~20% by month 6. The five-year base case is deliberately conservative — sim sessions only (café and motorsport academy excluded as upside), occupancy ramping 18%→35%, full corporate tax, and an 8% cost of capital charged throughout.

What's in this report

- 1 · Concept & configuration
- 2 · Floor plan (North-up, Vastu-oriented)
- 3 · 3D layout & design
- 4 · Capital investment & cost of capital
- 5 · Operating costs, pricing & break-even
- 6 · Five-year financial forecast
- 7 · Year-1 detail & payback
- 8 · Execution timeline
- 9 · Risks & assumptions

1 · Concept & Configuration

WHAT IT IS

A professional motorsport-development venue — not a gaming café — positioned via **Drive · Train · Compete**: drop-in racing (Drive), the Motorsport Academy (Train), and a championship + sim-to-seat ladder (Compete). Phase 1 is sim sessions only; café and academy layer on as the base proves out.

CONFIGURATION		PRICING (GST-INCL.)	30 MIN	1 HR
Rigs	7 race/rally + 1 motion (3-DOF)	Race / rally rig	₹750	₹1,250
Staff (launch)	2 (3rd from Year 2)	Motion rig	₹1,000	₹1,750
Floor area	1,142 sq ft (8.73 × 12.15 m)	Blended ₹1,218/hr net of GST (Year 1). Motion = base + ₹500/hr.		
Hours	12 / day			
Capacity	2,496 rig-hrs / month			
Software	iRacing · LMU · F1 25 · AC Rally · RBR			

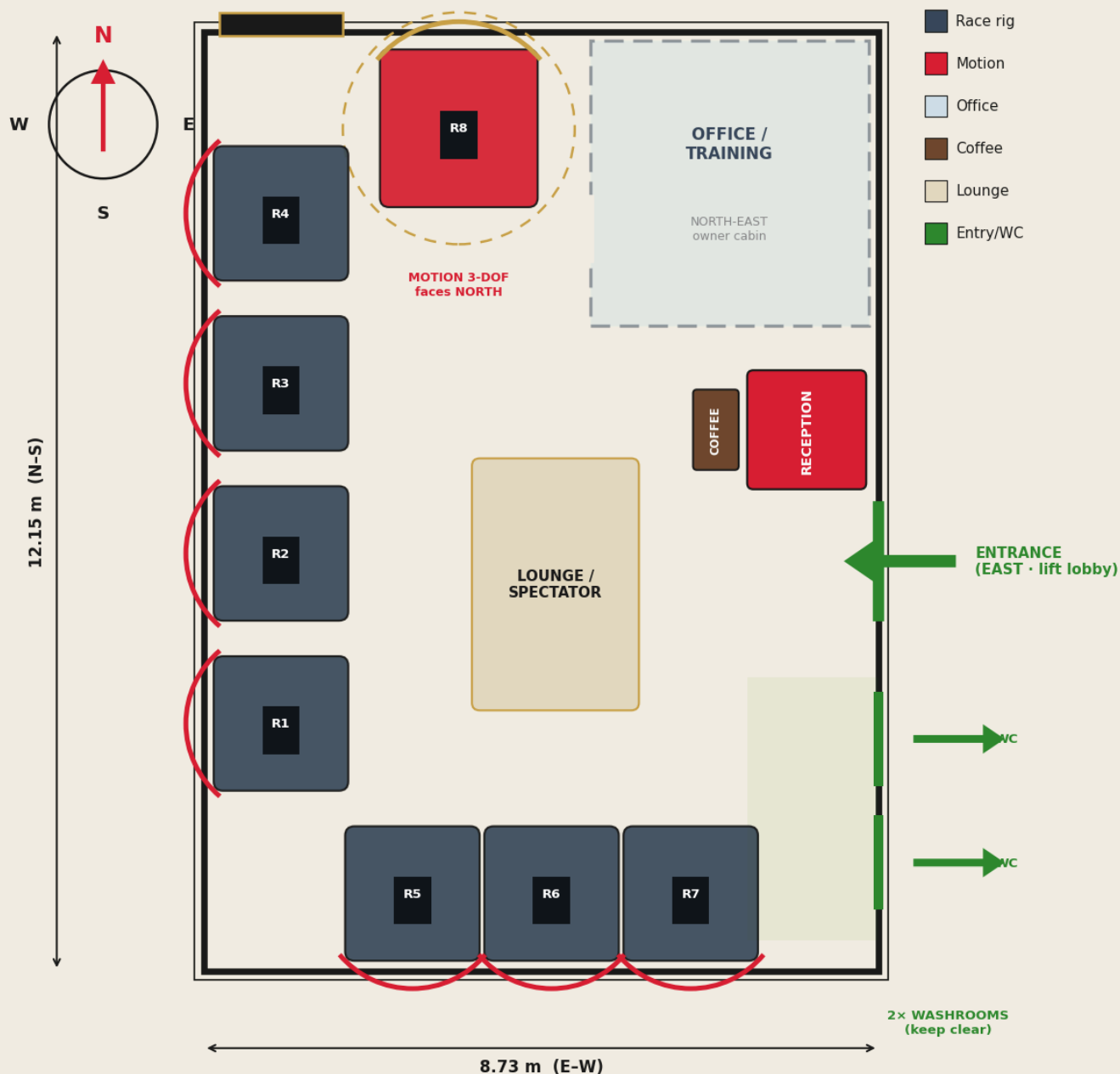
2 · Floor Plan

NORTH-UP · VASTU-ORIENTED · 1,142 SQ FT

RaceSims · Chennai

FLOOR PLAN v7 — North up · all rigs face the walls

Entrance = EAST · Office = NORTH-EAST · Motion faces NORTH · screens against walls



Entrance EAST (lift lobby) · office/training NORTH-EAST corner · motion rig faces NORTH · 7 static rigs along the west & south walls (screens against the walls) · reception + small coffee counter on the east wall · lounge centre · leaderboard north wall.

3 · 3D Layout & Design

INTERACTIVE MODEL — NORTH-UP VIEW



Rendered from the interactive model ([racesims-chennai-3d.html](#)), looking from the south so North is away and East is to the right — matching the floor plan. All rigs face their walls; the motion hero anchors the north wall beside the office.

Look & feel (SuperLap-referenced)

Warm woven pendant lamps over a brushed-steel reception counter, cream walls with light carpet, a menu board and merch display, ceiling track lighting, and the property's large perimeter windows. Editorial system: cream + RS Red + Montserrat + JetBrains Mono. The 3-DOF motion rig is the visual hero and the Instagram magnet; the central lounge keeps the room open for spectating.

4 · Capital Investment & Cost of Capital

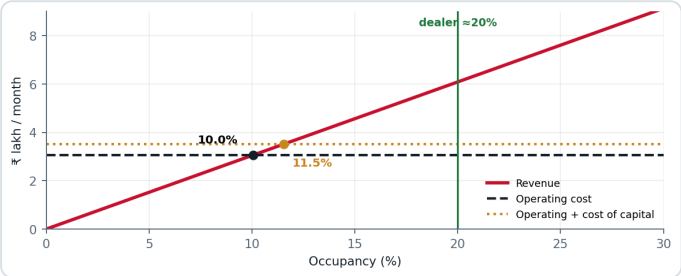
ITEM	AMOUNT
8 rigs (7 race + 1 motion) · distributor cost	₹50,79,200
Security deposit (6 mo · refundable)	₹9,31,500
Power, electrical & UPS	₹3,00,000
Interiors, branding, coffee, office	₹4,60,000
Working capital (2 months)	₹6,11,000
Contingency (5%)	₹3,38,535
Gross investment	₹77,20,235
less GST input credit	(₹8,90,756)
Net cash deployed	₹68,29,479
of which deposit (refundable)	(₹9,31,500)
Capital truly at risk	₹58,97,979

COST OF CAPITAL	
Basis	Part loan / part own
Rate (blended)	8% p.a.
Annual charge	₹5,46,000
5-year total	₹27,30,000

Distributor moat. Rigs at cost (₹50.8L) are worth ₹85–95L retail — a built-in balance-sheet equity of ₹26–31L and a resaleable asset that de-risks the financing.

5 · Operating Costs, Pricing & Break-even

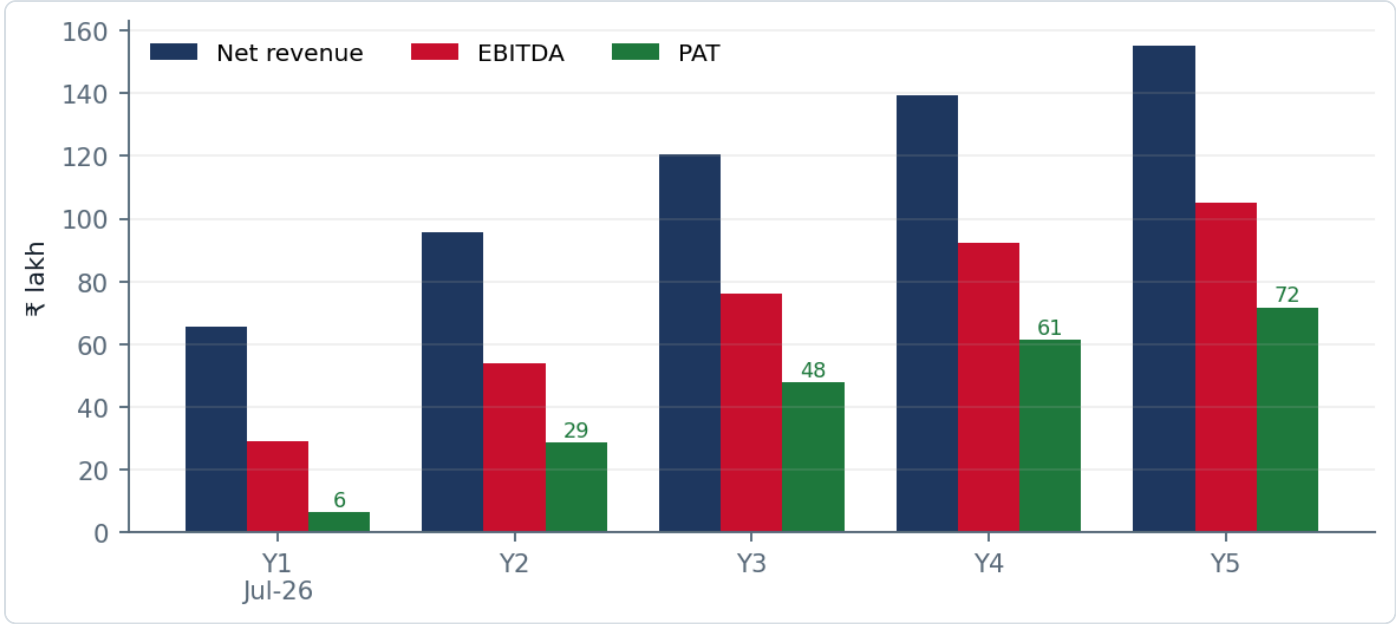
MONTHLY COST (Y1)	₹
Rent	₹155,250
Electricity	₹45,000
Staff (2)	₹50,000
Rig upkeep + reserve	₹24,000
Building maintenance	₹17,250
Office supplies	₹10,000
Internet	₹4,000
Total	₹3,05,500



Operating break-even 10.0%; incl. 8% cost of capital 11.5%. Dealer benchmark ~20%.

6 · Five-Year Financial Forecast

BASE CASE · CONSERVATIVE · OPENS JULY 2026



₹ LAKH	Y1 · JUL-26	Y2	Y3	Y4	Y5
Occupancy	18%	25%	30%	33%	35%
Net revenue	65.7	95.8	120.7	139.4	155.2
Operating cost	36.7	41.9	44.4	47.0	49.9
EBITDA	29.0	53.9	76.3	92.4	105.3
EBITDA margin	44%	56%	63%	66%	68%
less Depreciation	15.0	10.0	7.0	5.0	4.0
less Cost of capital (8%)	5.5	5.5	5.5	5.5	5.5
Profit before tax	8.5	38.4	63.8	81.9	95.8
less Tax (25.17%)	2.1	9.7	16.1	20.6	24.1
Profit after tax	6.4	28.7	47.8	61.3	71.7

5-year totals: cumulative EBITDA ₹3.57 cr · cumulative PAT ₹2.16 cr · capital multiple ~3.2x on ₹68.3L. Café & academy revenue excluded — pure upside.

7 · Year-1 Detail & Payback

YEAR-1 P&L (₹L)	GOOD	SLOW
Net revenue	66.0	45.3
Operating cost	(36.7)	(36.7)
EBITDA	29.3	8.6
Depreciation	(15.0)	(15.0)
Cost of capital	(5.5)	(5.5)
Profit before tax	8.8	(11.8)
Tax @ 25.17%	(2.2)	–
Profit after tax	6.6	c/f

Full-year depreciation (July start >180 days in FY27).



Tax upside: 80-IAC startup exemption (if claimed) zeroes Y1–Y2 tax (~₹12L). Y3: ~₹12L PC/GPU refresh, funded by the maintenance reserve.

8 · Execution Timeline

PHASE	WINDOW	MILESTONES
0 · Validate	Mar 2026	Call Uday (dealer playbook) · CA brief (SAC/80-IAC) · venue lock · rig pro-forma · go/no-go + capital
1 · Lease & legal	Apr 2026	Registered lease · S&E + trade licence + fire NOC · order rigs (8-wk lead) · VMS kickoff · hire lead
2 · Fit-out & build	May–Jun 2026	Wiring + UPS + AC · flooring/branding · networking · rigs cleared & installed
3 · Commission	late Jun 2026	Systems test · staff training · 30-guest soft launch
4 · Launch & ramp	Jul 2026	Public open · ARKA media · Hot Lap #1 · month-4 checkpoint

9 · Risks & Key Assumptions

RISK	MITIGATION
Demand below the ~20% dealer benchmark	Break-even 10–11.5% leaves a wide cushion; pre-sell corporate/experiences
Premium-price resistance	Protect headline rate; value via memberships, Hot Lap, off-peak
Equipment failure (motion rig)	Maintenance reserve + in-house servicing; rigs resaleable at retail
Slow first 4–5 months	Hold ~₹17L runway buffer separate from capital

Assumptions. Pricing GST-inclusive (master rate card); revenue net of 18% GST. Occupancy 18→35% base case (below the dealer's proven ~20% by month 6 and the investor-deck 50–68%). Blended rate +5%/yr; operating cost +6%/yr with a 3rd staffer from Y2. Cost of capital 8% p.a. on ₹68.3L. Full corporate tax (25.17%); no startup exemption banked. Depreciation WDV (computers 40% / plant 15% / furniture 10%). Café & motorsport-academy revenue excluded. Figures are management estimates for planning, not an offer or audited accounts. · RaceSims · Chennai · Racesims Solutions Pvt Ltd · July 2026